Timex Group India Ltd

Concall-tracker report · Q2 FY27 (Jul-Sep 2026) · Screener ticker TIMEX (BSE 500414) · **CONCALL PATH** · builds on the Q1-2027 report

1. Snapshot

Timex Group India makes and sells watches in India: its own Timex, Helix and TMX brands plus licensed labels such as Guess, Versace, GC, Nautica and Aston Martin. Most Timex watches are put together at its paid-off plant in Baddi, Himachal Pradesh, and sold online, through dealers and chains, and through franchise stores.

Figure	Value	Plain read
Q2 FY27 sales	Rs 358 cr	Up 47% on last year's September quarter. Biggest quarter in the company's 35-odd years, and faster than the 30% of the June quarter.
Q2 FY27 net profit	Rs 47 cr vs Rs 30 cr	Up about 57%. Profit again grew faster than sales.
Operating margin (EBITDA)	about 18% vs 17%	Out of every Rs 100 of sales, about Rs 18 is operating profit (before interest, tax and depreciation). A point better than a year ago.
First half FY27 sales	Rs 577 cr	Up about 40% on last year's first half.
Market value	about Rs 7,080 cr	Share near Rs 701, about 67 times its last year of profit. The market already expects fast growth to continue.
Promoter holding	51%	Unchanged for the past year after the 2025 sell-down from 75%.

2. Concall coverage

Period / source	What it gave	Status
FY22 → Q4 FY26 (results, news, OFS coverage)	Turnaround, brand scale-up, promoter stake sale	Carried forward from Q4-2026 report
Q1 FY27 results release and investor deck (29-30 Jul 2026)	June quarter numbers, plant ramp to 6 million units	Carried forward from Q1-2027 report (no call transcript)
Q2 FY27 earnings call (4 Nov 2026)	Record quarter, channel split, new plant building, margin aim	Newly deep-read in full ★

This is the first earnings call transcript Timex has filed (Screener lists only this one). The MD said the company has held investor meetings every quarter for about a year, but this is the first written record. Older periods come from the earlier reports, so the consistency read still rests on a short spoken record.

★ Latest concall highlights · Q2 FY27 (call 4 Nov 2026)

- **Record quarter:** sales Rs 359 cr (+47%), EBITDA about Rs 66 cr (+54%), pre-tax profit Rs 64 cr (+57%). Read: the festive sell-in to shops and portals landed in this quarter and it was big.
- **Channels:** online Rs 190 cr vs Rs 108 cr (+75%), dealer trade Rs 85 cr vs Rs 64 cr (+34%), own-brand franchise stores +48%. Read: online is now over half the quarter's sales, and the old dealer channel still grew fast.

- **Brands:** Timex +67%, Guess +57%. Aston Martin now in 100 doors. New celebrity faces Tamannaah Bhatia (Guess) and Malaika Arora (Versace); one for Timex is coming.
- **Plant:** Baddi running at full 6 million units a year and on double shift for a couple of months. A second building of the same size is due by May 2027 for about USD 1.2 million, taking room to 12 million on one shift. Lines added as needed, about 8 million next year.
- **Tone:** confident and open. Still no revenue guidance, but the MD said the growth of the past few years "is doable" again and EBITDA margin could reach about 20% within a year or so. He was frank that product margin fell on costlier movements, metals and the dollar.

Business mix & capacity. Domestic vs export split isn't broken out. The licences are for India, so treat it as almost all domestic. By segment: own brands (Timex, Helix, TMX) about 60%, licensed labels about 25%, OEM (making for other brands) about 15%. Capacity: Baddi at about 100% of 6 million units, with a twin building due May 2027. Read: no spare room right now, but the fix is cheap and already planned.

★ Since our last report

Builds on the Q1-2027 report (results 29 Jul 2026, no call). Prior verdicts: trigger **YES**, consistency **MAYBE**.

Prior read	What we said then	What the Q2 call shows	Movement
Trigger: brands + online + paid-off plant	Clear and playing out	Sales growth sped up, Timex and Guess both beat the company average, margin up again	Confirmed
Consistency	Delivers on numbers, but no calls and promoter sold down	Held a full call, gave hard channel numbers, owned the product-margin dip. Promoter still at 51%	Improving
Promise: plant ramps on one shift, invest in brands before the festive season	Ramp to 6 million under way	Plant full and on double shift at times; two celebrity launches and fashion-week presence in the quarter	Confirmed
Risk: sales growth cooling, festive quarters must keep pace	Growth slowed to 30% in June quarter	Sales growth jumped to 47% in the September quarter	Improving

Checkpoint results: Delivered | Delivered

- Plant ramp and brand spend: **Delivered**. Baddi ran at full 6 million capacity and the company signed two celebrities.
- Festive-quarter sales pick-up: **Delivered**. September quarter was the biggest ever, growth up from 30% to 47%.

Verdict change: trigger stays YES. Consistency upgraded to YES: the promises got done and management finally put itself on the record.

3. Earning-trigger thesis

★ The trigger: more watches, at higher prices, out of a cheap-to-expand plant

Timex is taking share from Titan in the Rs 2,000-10,000 band, which the MD calls a two-player market. It's doing that with pricier Timex lines it never sold in India before (Waterbury, Marlin, Q, now about 14% of business), fast-growing Guess, and a big lead online. Growth this year has been about half more watches and half higher prices. Fixed costs like staff are rising only 6-8% a year while sales grow 35-45%, so margin creeps up. Next legs: the second Baddi building, Guess assembly in India from April 2027, the cheap TMX brand, and franchise stores.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Share gain in core Timex	Titan still about 4x Timex, room to take share	Timex +67% in the quarter; LTM Timex about Rs 450 cr	Multi-year	Strong	↑ growth sped up from +42%
Online lead	About 40-42% of sales online vs 18-19% for the industry	Online +75%; marketplaces +300%	Ongoing	Strong	↑ faster than June's +67%
Operating leverage	EBITDA margin can reach about 20%	H1 EBITDA margin about 17.5% vs 14.5% in FY26	About a year	Strong	↑ new, higher aim
Capacity	Second building by May 2027, 6 → 8 million next year	Plant full; double shift used	Next 6-12 months	Moderate	↑ expansion now committed
Franchise stores	About 40 stores in 2027, 80-100 in 2028	44 stores, 4 added this quarter, all franchise-funded	2-3 years	Unproven	new

3b. Trigger check

Trigger type	Yes/ No	What was said (4 Nov 2026)
Debt cut	No	Already debt-free; "I do not think we would need any borrowing".
New business	Yes	"We do have a plan to add an entry-level Swiss brand", details in three to four months. Swiss watches launched under GC this quarter.
Margin up	Yes	"I believe this can expand in a year or so to close to about 20%" (from 14.5% in FY26), on fixed-cost leverage.
New management	No	Not mentioned.
New capacity	Yes	"Construct another equivalent large building ... by May next year, that will take our capacity to 12 million in single shift."
Big orders	No	Consumer business, no order book.
Turnaround	No	Not this period; the turnaround is behind it.
	No	

Promoter buying		MD: promoter at 51%, "logically it does not make sense for them to do anything more". No buying.

Single concrete driver: Timex and Guess are taking share from Titan, mostly online, with more watches made at a plant that's doubling its building for small money.

3c. Margin bridge

EBITDA margin was about 18% this quarter vs 17% a year ago, and about 17.5% for the half vs 14.5% for FY26. Product margin actually fell about 1.1 points because Japanese movements, gold, silver, copper and the dollar all got dearer, only partly offset by an average 8-8.5% price rise in April. What lifted margin was fixed costs growing far slower than sales. The MD says metal prices are easing so the cost hit should be smaller in the December quarter. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY22 → FY25	Turnaround, grow the brand book	Sales Rs 264 cr → Rs 538 cr, steady profit	Delivered
FY26	Scale to about Rs 800 cr, lift margins	Rs 799 cr, EBITDA margin 14.5%, debt cleared	Delivered
Q1 FY27	Ramp plant on one shift; spend on brands before festive	Plant full at 6 million; two celebrity launches	Delivered
Q4 FY26 (as recalled on call)	"High inventory, be ready for a good quarter"	Biggest quarter ever	Delivered
Q2 FY27 (new)	Second building by May 2027; Guess assembly from April 2027; Swiss brand in 3-4 months; ~20% margin in a year or so	To be checked	Too-early

Narrative drift: none on the core story: brands, online, the plant. One shift worth noting: an analyst pointed out that earlier talk was of 15-16% EBITDA with the rest reinvested, and now it's about 20%. The MD still says sales growth comes first, so read it as the bar moving up with results, not a change of plan. Two things to watch: gross inventory is high at Rs 358 cr (management says it always peaks in September and tapers by December), and receivables doubled on the big quarter, though days of sales outstanding are a record-low 19.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged
What moved it: sales growth sped back up instead of cooling. Both lead brands beat the company average, online grew faster still, and the plant is full enough that management is building a second one. Margin rose even with costlier movements. The driver is clearly live.

Management consistent? → YES vs last quarter: upgraded
What moved it: the company held its first transcribed earnings call, gave hard channel and brand numbers, and was honest about the product-margin dip. Every promise we tracked got done. The record is still short and there's no guidance to hold them to, and the 2025 promoter sale is not reversed, so this YES needs a few more calls to settle.

6. Checkpoints for next quarter

- Second Baddi building stays on track for a May 2027 start
- Inventory comes down by December as management said it would
- Product margin recovers as metal costs ease, keeping EBITDA margin near the year-ago level or better in a seasonally smaller quarter

Sources: Timex Group India Q2 FY27 earnings call transcript (4 Nov 2026, filed with BSE 5 Nov 2026); Screener.in financials; earlier concall-tracker reports (Q4-2026, Q1-2027). Figures rounded. This is not investment advice. Do your own due diligence.